

Real and nominal exchange rates



Exchange rates – the cost of converting pounds into US dollars, for example – are determined by the demand and supply of different currencies. They mediate any interaction between buyers and sellers of goods and services in different countries. The nominal exchange rate is that displayed on a bank's list of rates – US\$1 equaling UK£0.65, for example.

However, this nominal exchange rate doesn't tell you what you could actually buy in a foreign country with your own money. By taking account of countries' price levels, the real exchange rate measures this. It might tell you how much British apples cost in terms of American apples. Britain's real exchange rate goes up when its nominal rate rises, but also if its goods get more expensive, or American goods get cheaper. A fall in Britain's real exchange rate means that its goods have become cheaper

compared to other countries. This encourages consumers at home and abroad to buy more British goods.